Fault-tolerant market to hit $2 billion in '87

The fault-tolerant market continues to be a two-man fight. Both Marlboro, Mass.-based Stratus Computer, Inc. and Cupertino, Calif.-based Tandem Computers, Inc. have been sparring for some time to dominate the market, with IBM on the edge swinging but unable to land a solid punch.

The fault-tolerant arena is going to get a little more crowded. The traditional make-or-break markets, such as the banking and airline businesses, are now being joined by other industries eager for the extra security of fault-tolerant systems, which, in their basic makeup, contain processors working in parallel that continue to operate after component failures.

"We are predicting the [U.S.] fault-tolerant market will reach $2 billion in 1987 and grow 40% to 50% each year until 1990," claims Pete Kastner, manager of marketing development at Stratus. "Financial services, the brokerage business, point of sale [POS] and shop floor applications are exploding within business."

But International Resource Development, Inc., headquartered in Norwalk, Conn., sounds a more cautious note, pegging the U.S. fault-tolerant market at $1 billion this year, climbing to $1.2 billion by 1990.

"There are two big developments now under way in the fault-tolerant market," says Van Weathers, a director at Dataquest, Inc. in San Jose, Calif. "The first is expansion of target markets, which is bringing in some new vendors, and the second is the pressure being placed on the price/performance ratio. It's pushing the costs of transactions per second down."

Expanding markets, Weathers says, are exemplified by such new fault-tolerant frontiers as POS and telecommunications.

"[Illinois Bell] is in the process of developing a system called Networker, which monitors telephone network functions, picks up operator-referred trouble reports, analyzes them and tries to pinpoint the problems," explains Rich Willer, manager of corporate networks and software support at Illinois Bell in Chicago. "The core of Networker is a [Parallel Computers Co.] fault-tolerant system with built-in battery backup. We can't have the system go down."

Willer explains that telephone companies have always, out of necessity, had fault tolerance but

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not support systems such as Networker built into their switching systems. "Until now, our support systems really haven't had the transaction volumes, and we only needed to have high availability not fault tolerance. Increased competition is changing that," Willer says.

NCR Corp. has pushed fault tolerance into its bread-and-butter market, POS systems. At the same time, NCR is helping push the price curve down further with a series of low-cost, fault-tolerant POS systems in the $25,000 to $45,000 range, a far cry from the top-of-the-line Stratus and Tandem computer systems that can cost more than $1 million.

Tandem, however, has recently introduced a series of low-cost systems of its own, featuring an expandable number of processors.

Larger markets mean bigger competition. Santa Cruz, Calif.-based Parallel Computers is targeting its Unix-based systems at the telecom market as well as niche applications such as law enforcement agencies. New entrant Tolerant Systems, Inc. of San Jose is ambitiously aiming its low-cost systems at banking, telecommunications, manufacturing and the federal government. — SK